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2.8.9 Shift in the Demand Curve

A shift in the demand curve occurs with a change in the value of a variable other than its price in the general demand function. An increase or decrease in demand due to changes in conditions of demand is shown by way of shifts in the demand curve.

On the left hand side of the diagram 2.8, the original demand curve is d^1d^1, the price is OP_1 and the quantity demanded is OQ_1. Due to change in the conditions of demand (change in income, taste or change in prices of substitutes and /or complements) the quantity demanded decreases from OQ_1 to OQ_2. This is shown in the demand curve to the left. The new demand curve is d^1d^1. This is called decrease in demand.

On the right hand side of the diagram 2.8, the original price is OP_1 and the quantity demanded is OQ_1 . Due to changes in other conditions, the quantity purchased has increased to OQ_2 . Thus the demand curve shifts to the right d^1d^1. This is called increase in demand.

'Extension' and 'Contraction' of demand follow a change in price. Increases and decreases in demand take place when price remains the same and the other factors bring about demand changes.

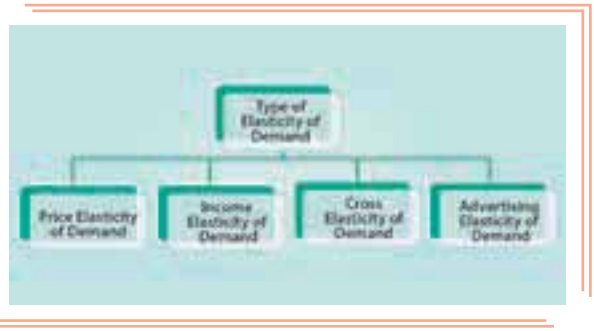
2.9 Elasticity of Demand

The Law of Demand explains the direction of change in demand due to change in the price. It fails to explain the rate of change in demand due to a given change in price. Elasticity of demand explains the rate of change in quantity demanded due to a given change in price.

"Elasticity of demand is, therefore, a technical term used by the Economists to describe the degree of responsiveness of the Quantity demand for a commodity to a change in its price".

- Stonier And Hague

Elastic demand or More Elastic demand

Demand for a commodity is said to be "Elastic" when the quantity demanded increases by a large amount due to a little fall in the price and decreases by a large amount due a little rise in the price. To be more scientific, Elastic demand is called as "More Elastic Demand".

2.9.1 Types of Elasticity of Demand